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CASES

Because You're Worth It: *L'Oréal* and the Prohibition on Free Riding

Dev Gangjee* and Robert Burrell**

INTRODUCTION

In *L'Oréal v Bellure* the European Court of Justice decided that free riding, or taking advantage of the reputation enjoyed by an earlier mark, is actionable *per se*. In reaching this conclusion, the ECJ significantly expanded the scope of trade mark protection but provided little justification for doing so. Referencing activity and building on the efforts of others are fundamental to creative and competitive processes. This comment argues that *L'Oréal's* broad prohibition on free riding is theoretically unsound, runs counter to the thrust of European trade mark law and could negatively impact on the competitiveness of the European marketplace.

Article 5(2) of the Trade Marks Directive (TMD)¹ deals with trade mark 'dilution', that is, forms of trade mark infringement that are not dependent on a finding that consumers are likely to be confused by the defendant's conduct. This expanded form of liability has been the subject of much controversy. Divorced (or at least estranged²) from the traditional consumer information rationale for trade mark protection, this extension of trade mark law has contributed towards increasing scepticism about the shape and direction of the trade mark system. This scepticism, as with scepticism about other forms of intellectual property protec-

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1 First Council Directive 89/104/EEC of 21 December 1988 to Approximate the Laws of the Member States relating to Trade Marks OJ 1989 L40/1. The substantive provisions under consideration remain unmodified in its successor, Directive 2008/95/EEC of 22 October 2008 OJ 2008 L299/25.

2 A consumer protection rationale for antidilution protection has been proposed. It is argued that such protection reduces 'imagination costs' for consumers by helping to preserve the clarity of brand messages and preventing consumers from making burdensome associations between unconnected products. See, eg, *Ty, Inc v Perryman* 306 F.3d 509, 511 (7th Cir. 2002). This imagination costs justification for antidilution protection has been the subject of fierce academic criticism. See, eg, G. Austin, 'Tolerating Confusion about Confusion: Trademark Policies and Fair Use' in G. Dinwoodie and M. Janis (eds), *Trademark Law and Theory: A Handbook of Contemporary Research* (Northampton, MA: Edward Elgar, 2008); R. Tushnet, 'Gone in 60 Milliseconds: Trademark Law and Cognitive Science' (2008) 86 Tex L Rev 507.

tion, is founded on the recognition that intellectual property rights need clear justifications because they affect 'what [people] may do, how they may speak, and how they may earn a living.'³ The ECJ's most recent opportunity to consider the scope of Article 5(2) came in *L'Oréal v Bellure*.⁴ That case, which came on a reference from the UK, concerned a dispute over low price look-alike and smell-alike perfumes. The ECJ held that free riding is prohibited under EU trade mark law. By concluding that taking advantage of the reputation enjoyed by an earlier mark is actionable *per se*, the ECJ significantly expanded the scope of trade mark protection. Yet it offered little by way of justification for reaching this conclusion. This comment argues that *L'Oréal* is theoretically unsound, runs counter to the thrust of the European trade mark law, is difficult to reconcile with the ECJ's earlier decisions and may impact negatively on the competitiveness of the European marketplace.

BACKGROUND TO THE DISPUTE

The L'Oréal Group manufactures cosmetics and high quality perfumes, including the well known 'Trésor', 'Miracle', 'Anaïs-Anaïs' and 'Noa' brands that were central to this dispute. The defendants were producers and distributors of a range of replica fragrances under the 'Creation Lamis' label. In the mid 1990s Bellure sensed an opportunity, since the 'cost of the major fragrance brands was beyond the pocket of many consumers [and] the demand was for affordable perfumes in attractive bottles and packaging, with fragrances similar to those of popular designer brands.'⁵ It set out to copy the aroma of successful perfumes, where the scent itself was not the subject of intellectual property protection. To take one example, the fragrance of Bellure's 'La Valeur' was apparently identical to L'Oréal's 'Trésor'. Bellure's perfumes were aimed at the lower end of the market and were sold in supermarkets, discount stores and at street markets. Bellure accepted that it had adopted similar bottle designs and packaging for its perfumes. To highlight olfactory equivalence, the defendants also distributed comparison lists to retailers, indicating by brand name which L'Oréal fragrance each smell-alike was meant to imitate.

L'Oréal objected to the defendants' activities on the basis of various registered word, device and packaging trade marks. In order to protect its considerable creative and financial investment in producing high quality fragrances L'Oréal argued that (1) the defendants' perfumes damaged, or were likely to damage, its business by creating confusion; and (2) the defendants were taking a 'free ride' on the claimant's investments. Based on these claims, L'Oréal sought to prohibit the use of the word marks Trésor, Anaïs-Anaïs, Miracle and Noa in the comparison lists issued by the defendants, as well as the use of the allusive packaging and names of five specific items sold by the defendants.

3 J. Waldron, 'From Authors to Copiers: Individual Rights and Social Values in Intellectual Property' (1993) 68 *Chicago-Kent L Rev* 841, 887.

4 *L'Oréal SA v Bellure NV* (C-487/07) 18 June 2009 (ECJ) (Unreported) (*L'Oréal ECJ*).

5 *L'Oréal SA v Bellure NV & Ors* [2006] EWHC 2355 (Ch) at [34] (Lewison J) (*L'Oréal HC*).

At this stage it helps to make some preliminary clarifications. First, *L'Oréal* accepted that the copying of perfume fragrances was lawful.⁶ Second, although the defendants' packaging and bottle design alluded to *L'Oréal*'s products, at trial the likelihood of confusion was held to be 'remote'.⁷ As the Court of Appeal reiterated, general resemblance is not sufficient to show that 'either the trade or public would be deceived'.⁸ Thus the consumer confusion and misrepresentation based claims under both trade mark infringement and the tort of passing off failed. Finally both at trial and on appeal, the English courts were invited to expand passing off into a broader tort of unfair competition, which they emphatically declined to do.

THE ECJ'S DECISION

On a preliminary reference, the Court of Appeal referred five questions to the ECJ, along three thematic lines: (1) Prompted by the comparison lists, questions 1 and 2 concerned the scope of Article 5(1)(a) of the TMD, which prevents the defendant's use of an identical sign on identical goods. The first question asked whether 'the proprietor of a trade mark can prevent a third party from using in comparative advertising a sign that is identical with that mark for [identical] goods . . . even where such use does not give rise to a likelihood of confusion on the part of the public as regards the origin of the goods' and has no effect on the essential function of a trade mark.⁹ The second asked whether this provision applies where 'use is not capable of jeopardising the mark or one of its functions [since there is no confusion, blurring, tarnishment or loss of sales] but none the less plays a significant role in the promotion of the [defendant's] goods or services'.¹⁰ (2) The fifth question arose in the context of similar names and product packaging. It queried whether 'unfair advantage' in Article 5(2) includes pure free riding ie where use of the claimant's sign by the defendant results in 'an advantage in the marketing of his goods or services, without, however, giving rise, as far as the public is concerned, to a likelihood of confusion or causing or risking causing detriment to the mark or to its proprietor'?¹¹ (3) The third and fourth questions related to a potential comparative advertising defence. Comparative advertising is permitted under EU law when it satisfies certain conditions under the Misleading and Comparative Advertising Directive (MCAD).¹² Did these threshold conditions operate to disallow the defendants' use of comparison lists? We return

6 Recent attempts to protect perfumes under copyright law have met with some success in both the Netherlands and France. See, respectively, *Kekofa BV v Lancôme Parfums et Beauté et Cie SNC* [2006] ECDR 26 (Hoge Raad); *Société Bellure v SA L'Oréal* [2006] ECDR 16 (Cour d'appel de Paris) but cf the earlier decision of the Court de Cassation, *Bsiri-Barbir v Haamann & Reimer* [2006] ECDR 28.

7 *L'Oréal HC* at [68].

8 *L'Oréal SA v Bellure NV* [2007] EWCA Civ 968 at [17] (Jacob LJ) (*L'Oréal CA*).

9 *L'Oréal ECJ* at [51].

10 *ibid.*

11 *ibid* at [32].

12 Council Directive 84/450/EEC of 10 September 1984 Concerning Misleading and Comparative Advertising (OJ 1984 L 250, 17), as amended by Directive 97/55/EC of the European Parliament and of the Council of 6 October 1997, OJ 1997 L290/18.

to the comparative advertising issue towards the end of this comment, since it showcases the need for a clear dividing line between fair and unfair advantage.

The first issue: are comparison lists permissible?

L'Oréal sought to prevent the use of the comparison lists on the basis of Article 5(1)(a) of the TMD, which grants a trade mark proprietor exclusive rights against a defendant who uses a 'sign which is identical with the trade mark in relation to goods or services which are identical with those for which the trade mark is registered'. Unlike Article 5(1)(b), the claimant here need not prove a likelihood of confusion. The 10th Recital to the TMD emphasises that 'the protection afforded by the registered trade mark, the function of which is in particular to guarantee the trade mark as an indication of origin, is absolute in the case of identity between the mark and the sign and goods'. Since the defendants' lists made unauthorised use of the claimant's identical trade marks in relation to identical goods (perfumes), it appears to be a *prima facie* fit. Yet identifying the basis for the 'double identity' rule has proved controversial. According to one school of thought Article 5(1)(a) addresses situations where the likelihood of confusion is presumed inevitable, so that the claimant need not bear this evidentiary burden.¹³ An alternative view takes the absolute nature of protection more seriously. Since the 10th Recital only mentions the origin function 'in particular', this rule could operate in situations beyond presumed confusion, where other trade mark functions beyond origin indication are threatened.¹⁴ So did Article 5(1)(a) apply when only the origin function was presumed to be affected, when other functions were also affected or even if none were? The unambiguous nature of the comparison list suggested that the origin function of *L'Oréal's* marks would not be endangered and after reviewing the authorities, the Advocate General acknowledged that this raised a 'delicate question'.¹⁵ While the ECJ had previously hinted at the other functions of a trade mark and Advocate Generals had opined as to what these might be when interpreting Article 5(1)(a), the issue was settled in *L'Oréal*. Trade mark rights were granted to protect the specific interests of the proprietor, so these rights were restricted to situations where the functions of a trade mark were detrimentally affected. This encompassed not only the origin-indicating essential function of a trade mark, 'but also its other functions, in particular that of *guaranteeing the quality* of the goods or services in question and those of *communication, investment or advertising*'.¹⁶

13 The arguments are reviewed in A. Griffiths, 'The Trade Mark Monopoly: An Analysis of the Core Zone of Absolute Protection under Art.5(1)(a)' [2007] IPQ 312, 317–19.

14 'Functions' are mentioned but left unspecified in: *Arsenal Football Club v Reed* (C-206/01) [2002] ECR I-10273 at [51]; *Anheuser-Busch Inc v Budejovický Budvar Narodni Podnik* (C-245/02) [2004] ECR I-10989 at [59]; *Adam Opel AG v Autec AG* (C-48/05) [2007] ECR I-1017 at [21].

15 The 'absolute protection' interpretation would grant broad protection to all trade marks in situations of double identity, whereas the scheme of the TMD otherwise provided for (optional) broad protection only for marks with a reputation. *L'Oréal SA v Bellure NV* (C-487/07) 10 Feb 2009 (Unreported) at [57] (AG Mengozzi) (*L'Oréal AG*).

16 *L'Oréal ECJ* at [58] (our emphasis).

The expansive interpretation of Article 5(1)(a) to include potential detriment to any function has far reaching consequences. At the highest level of abstraction, it is the first ECJ decision to identify explicitly these other functions of a trade mark.¹⁷ Its implications will presumably reverberate across EU trade mark law.¹⁸ On the other hand, despite characterising protection under Article 5(1)(a) as 'absolute' the ECJ did at least concede that its applicability was contingent, depending upon some form of damage. It does not operate where the defendant's 'use is not liable to cause detriment to any of the functions of [the claimant's] mark'.¹⁹ In doing so, it endorsed the Advocate General's conclusion that none of the functions of the mark were harmed in this case.²⁰ Applying this finding to *L'Oréal*, it suggests that comparison lists are not infringing under Article 5(1)(a), despite the ECJ's apparent disbelief that such lists would not affect the communication, investment or advertising functions.²¹ Yet the potential failure of 'double identity' infringement led the ECJ to suggest that the Article 5(2) free riding prohibition remained an option, not just for the look-alike packaging, *but even for comparison lists*.²² This brings into focus the central importance of the free riding issue.

The second issue: does free riding amount to an unfair advantage?

The prevention of consumer confusion has historically formed the core concern of trade mark law. However EU law also grants protection against 'dilution' to registered marks with a reputation under Article 5(2). In relevant part, it provides 'the proprietor shall be entitled to prevent all third parties not having his consent from using in the course of trade any sign which is identical with, or similar to, the trade mark in relation to goods or services . . . where the latter has a reputation in the Member State and where use of that sign without due cause takes unfair advantage of, or is detrimental to, the distinctive character or the repute of the trade mark'.

It is widely accepted that this provision protects against both 'blurring' and 'tarnishment'. These harms remain controversial²³ but broadly speaking they are

17 These had been previously aired in several non-binding Advocate Generals' opinions. See *L'Oréal AG* at [51]–[56]. Specifically on image protection, see *Parfums Christian Dior v Evora* (C-337/95) [1998] CMLR 737 at [43], [45].

18 This decision is likely to affect a series of internet search engine related cases currently pending before the ECJ. For a convenient summary, see *Interflora Inc v Marks and Spencer plc* [2009] EWHC 1095 (Ch) at [55]–[73].

19 *L'Oréal ECJ* at [60]. This creates further ambiguity. If the basis for Art 5(1)(a) was presumed confusion in situations of double identity (eg counterfeits), doing away with a burden of proof requirement made sense. How are we to now justify an absence of proof requirement where the claimant alleges that the defendant is using an identical sign on identical goods, accepts that no one is confused because of the context (eg a comparative advertisement) but nevertheless alleges the defendant's use is tarnishing her reputation or affecting some other function? Also why such broad protection for all marks, be they humble or renowned? Many marks will lack content for the image or advertising functions.

20 *L'Oréal AG* at [60].

21 *L'Oréal ECJ* at [62].

22 *ibid* at [64].

23 It has been noted that 'The concept of trademark dilution has been a consistent source of controversy since its introduction to the American legal lexicon in 1927': T. R. Lee, 'Demystifying Dilution' (2004) 84 Boston U L Rev 859, 860.

both aimed at preserving the attractive force of the mark – protection against blurring does so by preventing the dispersion of the identity of the mark as might occur if a well known mark began to be used in relation to unrelated goods or services; protection against tarnishment does so by preventing a mark from being linked with goods or services that are in some sense unwholesome. The problem for *L'Oréal* was that neither of these harms could be demonstrated in this case, so it proposed that taking advantage of the reputation of a mark is itself actionable. In other words, *L'Oréal* had to argue that trade mark protection can be invoked not only (1) to prevent consumer confusion (classical infringement); or (2) to preserve the attractive force of the mark (blurring or tarnishment); but also (3) in order to protect the investment made by the trade mark owner in developing its brand.

Judged from a comparative perspective one would have expected *L'Oréal* to struggle. It is notable, for example, that although United States trade mark law prohibits both blurring and tarnishment,²⁴ free riding *per se* is not actionable under federal law. Also noticeable is the fact that commentators working within the law and economics tradition who are supportive of providing rights against dilution have tended to eschew free riding based justifications for such protection.²⁵ However, previous ECJ decisions did leave some space for *L'Oréal's* argument to succeed. Previous case law had indicated that the reference in Article 5(2) to causing 'detriment to . . . the distinctive character of the mark' is a reference to blurring; and that the reference to 'causing detriment to . . . the repute of the mark' is a reference to tarnishment'.²⁶ This disjunctive interpretation of Article 5(2) strongly suggested that there must be a third form of harm captured by the reference in Article 5(2) to taking 'unfair advantage' of the earlier mark.²⁷ Also working in *L'Oréal's* favour was *Mango*,²⁸ a decision of OHIM's²⁹ Board of Appeals, in which it had been held that the sole criterion for a finding of unfair advantage is benefit to the defendant, without any corresponding effort or investment.

24 15 USC § 1125(c) (2006).

25 W. Landes and R. Posner, *The Economic Structure of Intellectual Property Law* (Cambridge, MA: The Belknap Press of Harvard University Press, 2003) 207–208.

26 Three independent categories of prohibited conduct were initially identified by Advocate General Jacobs in *Adidas-Salomon AG v Fitnessworld* (C-408/01) [2004] CMLR 14 at [36]–[39]. See also *Intel v CPM* (C-252/07) [2009] ETMR 13 at [26]–[28].

27 As an aside, we note that this selectively disjunctive interpretation of Art 5(2) is open to question. A completely disjunctive reading would enable four types of claims: two types of detriment and two types of unfair advantage. Yet for unfair advantage, the ECJ is treating 'the distinctive character or the repute' of the mark as a composite phrase. If this composite interpretation were consistently applied, the provision would reduce to only two claims based on harmful allusive uses: (a) taking unfair advantage of distinctive character or repute (blurring) or (b) detriment to distinctive character or repute (tarnishment).

28 *Mango Sport System v Diknak* (R. 308/2003–1) [2005] ETMR 5 at [19]. (Free riding 'is unfair since the reward for the costs of promoting, maintaining and enhancing a particular trade mark should belong to the owner of the earlier trade mark in question.'). Similar reasoning is found in *inter alia*: *Spa Monopole v OHIM* (T-67/04) [2005] ECR II-1825; [2005] ETMR 109 at [51]; *Citigroup, Inc v OHIM* (T-181/05) [2008] ETMR 47 at [82]–[83]; *L'Oréal v OHIM* (T-21/07) 25 Mar 2009, Unreported at [19]; *Antartica Srl v OHIM, The Nasdaq Stock Market* (C-320/07 P) [2009] ETMR 47 at [48] ('In so far as what is prohibited is the drawing of benefit . . .').

29 The Office for Harmonisation in the Internal Market (OHIM) is the body responsible for registering Community-wide trade mark and design rights.

The trial court accepted *L'Oréal's* argument. It held that the defendant had set out to take advantage of the claimant's reputation so as to boost its sales and, since the evidence suggested that Bellure had been able to charge more for its perfumes than other low end producers, it had clearly been successful. In contrast, the Court of Appeal was much more wary. It suggested that there must be some additional element beyond mere advantage – that there must be some further element that gives content to the requirement that the advantage be *unfair*. More specifically, Jacob LJ reasoned that only 'activities which actually harm a trade mark or its reputation ought to be caught by trade mark law'.³⁰

Unfortunately, the ECJ favoured the prohibition of free riding *per se*. It concluded that taking unfair advantage was synonymous with 'parasitism' and it 'relates not to the detriment caused to the mark but to the advantage taken by the third party as a result of the use of the identical or similar sign. It covers, in particular, cases where, by reason of a transfer of the image of the mark or of the characteristics which it projects to the goods identified by the identical or similar sign, there is clear exploitation on the coat-tails of the mark with a reputation'.³¹ If the transference of image or characteristics signified the advantage, the unfairness was located in the defendants' attempt 'to exploit, without paying any financial compensation and without being required to make efforts of his own in that regard, the marketing effort expended by the proprietor of that mark in order to create and maintain the image of that mark'.³² To determine whether this occurs, national courts will have to undertake a global assessment based on factors including the degree of distinctiveness and reputational strength of the claimant's mark, the similarity between the marks and proximity between the goods, as well as the immediacy of the mental linkage between the claimant and defendant's signs.³³

L'ORÉAL'S BLEMISHES

Is a prohibition on free riding desirable?

We acknowledge the marketplace reality that brands attract custom and are valuable to trade mark proprietors.³⁴ However, it does not necessarily follow that the law should intervene to protect this value. In effect, the ECJ has recognised property rights in reputation *per se*. Unlike previous decisions where a renowned mark's reputation was in danger of being damaged,³⁵ the Court (a) formally acknowledged that trade marks possess a 'communication, investment or advertising' function,³⁶ signalling not only objective information about product quality, but also attributes such as style and luxury;³⁷ (b) this constitutes the mark's image

30 *L'Oréal CA* at [90]–[94].

31 *L'Oréal ECJ* at [41].

32 *ibid* at [49].

33 *ibid* at [45].

34 One of the most influential annual surveys is found in Interbrand's Best Global Brands List. See <http://www.interbrand.com/best-global-brands.aspx> (last visited 22 Aug 2009).

35 eg *Parfums Christian Dior SA v Evora BV* (C-337/95) [1998] CMLR 737.

36 These terms are not necessarily synonymous. *L'Oréal ECJ* at [58].

37 *L'Oréal AG* at [54].

and (c) the prohibition against taking 'unfair advantage of . . . reputation' prevents exploitation through the 'transfer of image'.³⁸ In protecting reputation absent any harm, the Court recognised the investment in creating an attractive brand image. Since granting property rights to one group inevitably takes away freedoms from others, we ask whether protection is justified. A precondition to this inquiry is to clarify the meaning of free riding. One frustrating aspect of the ECJ's judgment is that it provides no explanation of its understanding of free riding, even though this language brings with it elements of both economic theory and moral disapprobation.

In economic terms we normally understand free rider problems as flowing from the generation of some positive externality, that is, a benefit that is conferred on another person by an economic actor outside of any transaction between the parties.³⁹ Positive externalities are of concern because they may lead to underinvestment in the activity that generates the benefit in question.⁴⁰ This is because the market signal will fail to reflect the full value of the activity. The allocation of property rights is widely accepted as providing one way in which the State can intervene to try to ensure that externalities (whether positive or negative) are internalised.⁴¹ However, it is imperative not to leap from the identification of some positive externality to the conclusion that legal intervention to correct for this externality is justified. On the contrary, positive externalities are ubiquitous. The person who maintains an attractive front garden has no claim against neighbours who see their property values increase; the person who buys and uses a handkerchief when suffering from a cold receives no compensation from acquaintances and passers-by who avoid becoming ill as a result.⁴² These examples could be multiplied more or less indefinitely and the point we want to stress is that legal intervention is the exception, not the rule. Particularly notable is the fact that we make no general attempt to intervene in cases where a person introduces a new product to the market. For example, the person who (re)introduced

38 *L'Oréal ECJ* at [41].

39 For a good introduction to the voluminous literature on externalities, see, eg, W. Hirsch, *Law and Economics: An Introductory Analysis* (San Diego: Academic Press, 3rd ed, 1999) 12–19, 22–24, 252–254.

40 Creating Pareto inefficiency.

41 See, most famously, H. Demsetz, 'Toward a Theory of Property Rights' (1967) 57 *The American Economic Review (Papers and Proceedings)* 347; G. Hardin, 'The Tragedy of the Commons' (1968) 162 *Science* 1243, 1245. It has been noted that in these and other early accounts the grant of property rights was discussed primarily as a way of ensuring that negative externalities are internalised (although Demsetz did include a passing mention of copyright and patents in his seminal paper (at 359)) and the idea that property rights ought to be used to internalise positive externalities has long been controversial. For a sophisticated discussion of the problems of applying Demsetzian property theory to intellectual property rights see B. Frischmann and M. Lemley, 'Spillovers' (2007) 100 *Colum L Rev* 257. Other ways in which the State can intervene to correct for positive externalities include by direct provision and through the creation of Pigouvian subsidies, which by means of government grants or through the tax system can seek to align public benefit with private costs.

42 Other commonly deployed examples include the keeping of bees, which may benefit neighbouring farmers and gardeners by pollinating their crops or plants and the installation of fire prevention and detection devices that may also benefit neighbouring property owners. Another popular example – the holding of a fireworks display that can be viewed and 'enjoyed' by third parties – has been convincingly problematised: 'Dear Economist: How can I better enjoy launching fireworks?' *Financial Times* 23 February 2008.

absinthe to the UK market received no compensation from subsequent importers even though they benefited from the marketing efforts of the first mover.⁴³ Absent copyright, design or patent protection, the same applies to any copyist. Bellure was entitled to copy *L'Oréal's* fragrances and if Bellure could trade off *L'Oréal's* efforts to this extent why should it be prevented from communicating the fact of its copying to the market?

Furthermore, even in situations where we determine that some form of legal intervention is required, there is a strong case that such intervention should go no further than is required to provide the incentive to invest. One of the reasons why patent and copyright law have become so controversial is because these regimes now provide a level of protection that would seem to go well beyond that which is required to preserve incentives. Given the advantages that accrue to the owner of an established brand it is difficult to see that there is any danger of 'undersupply' that trade mark law needs to guard against.⁴⁴ Certainly David Barnes, the leading scholar to take externalities in trade mark law seriously, comes to this conclusion and, more specifically, Barnes is dismissive of the idea that a free rider argument could ever justify providing a right to prohibit the type of referential use made by Bellure in its comparative lists.⁴⁵

The ECJ gave no indication that it had thought through the economic implications of its decision. Its departure from the default assumption that imitation is permissible remains unexplained, as do the implications of its decision for consumer welfare. It also showed no hesitation about its institutional competence in the field of economic policymaking. Thus, judged in economic terms, *L'Oréal* is deeply problematic.

43 Absinthe was in fact reintroduced to the UK by a small consortium of individuals that included John Moore, a former member of 'The Jesus and Mary Chain' and Tom Hodgkinson, editor of *The Idler* magazine: J. Adams, *Hideous Absinthe: A History of the Devil in a Bottle* (London: IB Tauris, 2004) 237–238.

44 The US does not prohibit free riding *per se*. The underinvestment thesis would thus suggest that there is an underinvestment in the development of brands in the US, a previously unnoticed feature of American economic life and American society. But to take this argument seriously for a moment, it might be said that when deciding whether to launch a new brand the would-be investor will take account of the costs imposed by free-riding on successful brands in deciding whether to go ahead with a launch. In other words, because the profits available to offset the risks of failure are reduced, the very possibility of free riding will reduce the number of brands that are created. However, this assumes that the costs in terms of disincentives to brand entrepreneurs are sufficient to outweigh the extra utility that consumers obtain from competition in the marketplace. To reiterate, our default rule when making this (uncalculatable) calculation is that copying is allowed – the importer of a new alcoholic drink will not be able to internalise all of the benefits of its investment, perhaps deterring a new launch in the marginal case, but we assume that the increased utility created by competition in the market for the product for which there is a proven demand outweighs the free rider problem. In the copyright context problems with incentive to produce arguments have led intellectual property maximalists to focus instead on the argument that complete internalisation is necessary to ensure that intellectual goods are not only created but also that they are effectively managed (in other words, the accompanying financial incentive will ensure that intellectual goods are put to best – utility maximising – effect): Frischmann and Lemley, n 41 above, 266; D. Barnes, 'Trademark Externalities' (2007) 10 Yale J Law & Tech 1, 8. But as these commentators and others have pointed out, these theories fail to take account of the deadweight loss that is caused where a consumer would be prepared to pay for the bare product, but is not prepared to shoulder the cost of the product plus the relevant licence fee.

45 Barnes, *ibid* 20–22.

It may therefore be thought that the ECJ's decision is better understood in moral terms, that the ECJ was drawing conclusions not about the functioning of the market, but rather about claims based on an ethical entitlement. However, any suggestion that the input of labour or other investment leads inexorably to an entitlement to strong (intellectual) property protection must be treated with considerable care. As Breakey has pointed out, 'natural' intellectual property rights have to be limited '[b]ecause other people have rights too'.⁴⁶ The ECJ showed no awareness of the need to reconcile rights flowing from investment with the freedom and autonomy of others. Moreover, even the premise that brand creation generates an entitlement over the image cannot be taken at face value. While the brand owner certainly initiates the process, a brand ultimately exists in the minds of consumers, where it fluctuates and is reconstituted, sometimes in unpredictable ways.⁴⁷ Trade mark doctrine acknowledges, through the rules governing acquired distinctiveness and generic use, that the public has a role to play in creating and unmaking trade marks.⁴⁸ If consumers are also co-authors in the creation of a brand, why is the proprietary interest to be identified solely with the brand owner?

Turning to arguments derived from preventing 'unjust enrichment', the unjustness of another's gain is usually the trickiest element to explain. It 'is neither possible nor necessarily desirable for a competitor to rely completely on his own unaided efforts. We neither live in [a] romantic world of perfectly self-sufficient individualists . . . nor would want to'.⁴⁹ Since we inhabit a world where we are enriched by those around us, the unjustness often rests on an assumption that the defendant is appropriating the claimant's (intangible) property without consent, but this is entirely circular. If property is the label given to that which the law protects, why should we concede property in reputation in the first place?⁵⁰ Here powerful rhetorical devices that can suggest moral blameworthiness, such as free riding and the Biblical language of 'reaping without sowing' are to be treated with considerable care. In the course of this litigation, Jacob LJ commented that

free riding is 'subtly and dangerously emotive: it carries the unwritten message that it ought to be stopped. That is far from being necessarily so. The needs of proper competition and lawful free trade will involve an element [of it]. The problem for trade mark law is where to draw the line between permissible and impermissible "free riding". Using the epithet does not solve the problem'.⁵¹

46 H. Breakey, 'Natural Intellectual Property Rights and the Public Domain' [2010] MLR.

47 As evinced by the misery of Burberry in recent years, once 'label-conscious football hooligans started to adopt the distinctive check'. BBC News 'Burberry versus The Chavs' (28 Oct 2005) At: <http://news.bbc.co.uk/1/hi/business/4381140.stm> (last visited 22 Aug 2009).

48 S. Wilf, 'Who Authors Trade Marks' (1999) 17 Cardozo Arts & Ent LJ 1.

49 M. Spence, 'Passing Off and the Misappropriation of Valuable Intangibles' (1996) 112 LQR 472, 489. See also R. Bone, 'Hunting Goodwill: A History of the Concept of Goodwill in Trade Mark law' (2006) 86 Boston U L Rev 547, 616–620.

50 E. Weinrib, 'The Fiduciary Obligation' (1975) 25 U Toronto LJ 1, 10–11. ('Property is itself merely the label for that crystallized bundle of economic interests which the law deems worthy of protection. When intangibles such as information and opportunity are at stake, affixing the label of property constitutes a conclusion not a reason').

51 *L'Oréal CA* at [27]. On the strategic framing of IP issues through pejorative language, see W. Patry, 'Metaphors and Moral Panics' [2008] IPQ 1; D. Halbert, 'Intellectual Property Piracy: The Narrative Construction of Deviance' (1997) 28 *International Journal for the Semiotics of Law* 55.

An additional cause for concern is that the ECJ has left unclear the evidentiary requirements for free riding. For example, ambiguity persists as to (a) whether the advantage (ie a boost to the defendant's sales) has to be proved or can be inferred or presumed and (b) how courts will determine whether any apparent advantage is causally related to the association with the claimant's sign or is due to other factors.⁵² This haziness could permit the stampeding of factors towards merely establishing that there is a link between the two signs and the claimant's reputed sign has an attractive image. Preventing any unauthorised reference to a meaning rich trade mark is a dangerous stance to adopt. Bellure may have been referencing the *L'Oréal* image but they were also signalling that, qualitatively speaking, their legitimately manufactured perfumes were smell-alikes. Is it possible to effectively reference qualitative equivalence without referencing image? Furthermore, Bellure's sales were also due to the fact that people were willing to pay for cheaper substitutes. Thus depending on the context, the loaded expression free riding can be reimagined simply as copying, imitating or referencing all of which play a part in marketplace competition and downstream innovation.

Free riding and the trade mark system

The lack of nuance in the ECJ's approach is further exposed in its analysis of the comparative advertising defence. The Court agreed that product comparison lists may qualify as comparative advertising, but permissibility depended on satisfying the conditions under the MCAD. These include the requirements that a comparative advertisement 'does not take unfair advantage of the reputation of a trade mark' under Article 3a(1)(g)⁵³ and 'does not present goods or services as imitations or replicas' of trade marked products under Article 3a(1)(h). The essence of the puzzle in Article 3a(1)(g) was identified by the referring court: Where a well known brand, 'freighted with goodwill' is the reference point in a comparative advertisement, is it possible to exclude an element of taking advantage? Otherwise virtually 'any comparison by a merchant of his product with a well-known product on the market will to some degree take advantage of the reputation of that product.'⁵⁴ Advocate General Mengozzi addressed the issue, observing that this was a factual determination for the national court and indicating relevant criteria for when such an advertisement would take unfair advantage.⁵⁵

52 According to AG Mengozzi, for establishing an advantage 'it should be sufficient . . . to demonstrate that the sign used by the third party has a particular attraction for the consumer due to the fact that that sign is associated with positive qualities of the well known mark in such a way as to induce the consumer to buy the products under that sign.' *L'Oréal AG* at [103].

53 The ECJ held that 'unfair advantage' must be given the same interpretation in both the TMD and MCAD. *L'Oréal ECJ* at [77].

54 *L'Oréal CA* at [64]. At stake is the use of comparison lists more generally, for this affects the ability of generic drug manufacturers to indicate their equivalence with branded counterparts or spare parts producers to indicate equivalence with authorised spares.

55 *L'Oréal AG* at [68]–[78]. These included the primary factor of the benefit of comparative advertising to consumers, as well as the degree of recognition of the comparative advertiser's own marks, the image associated with the well known mark, whether it is necessary or useful to use the well known mark to achieve the specific information objectives of the advertisement in question and whether comparative advertising was a sporadic or systematic policy of the defendant's.

However the ECJ avoided the puzzle at the core of Article 3a(1)(g) by holding that the perfume comparison lists fell foul of Article 3a(1)(h), as 'imitations or replicas'. Since this was prohibited advertising, it was unlawful and therefore unfair under Article 3a(1)(g).⁵⁶ It must be remembered that the MCAD exists to prevent a blanket prohibition on comparative advertising and the default position under the MCAD is that such advertising is allowed. By adopting an expansive reading of Article 3a(1)(h), the 'imitations and replicas' exclusion,⁵⁷ the ECJ may have insulated reputed marks from a range of competitive comparisons.

In addition to running counter to the thrust of the MCAD, *L'Oréal* also runs counter to the thrust of earlier ECJ decisions. At a general level, it might be noted that the registered trade mark system is a somewhat strange home for a prohibition against free riding. Trade mark protection is only conferred on 'signs' and infringement always requires use of a sign that is at least similar to that owned by the claimant. This sign 'bottleneck', which goes to the very heart of the registered trade mark system, means that there is always going to be an imperfect fit between a prohibition on free riding and the trade mark system. Investment in the development of a brand can only be captured (a) insofar as it attaches to a 'sign' and (b) free riding can only be prohibited insofar as the defendant has employed a recognisably similar sign. The latter point means, for example, that if Bellure had refrained from using the mark 'Noa' in its comparison lists and had instead used a description such as 'the well known perfume with the name that sounds like the guy who had the Ark' then no question of trade mark infringement could arise, even though Bellure would have been equally 'guilty' of free riding. The former point means that some investment in brand development will almost certainly never be capable of being captured by the trade mark system: some investment will never be tied to the creation or promotion of a specific sign. However, if trade mark law is to have anti free riding as one of its aims one would expect the ECJ to ensure that the ambit of the 'sign' was extended as far as possible. But recent ECJ decisions have gone in the opposite direction. For example, Dyson was refused trade mark protection for the concept of using a clear plastic bin on its vacuum cleaners, it being held that mere ideas do not fall within the definition of a sign.⁵⁸ Other manufacturers are thus perfectly free to use clear plastic bins on their vacuum cleaners, even though the

⁵⁶ *ibid* at [75]–[76].

⁵⁷ The intended consequence of finite patent, design and copyright terms is precisely to enable imitations and replicas afterwards, thereby allowing for competition on the basis of price and quality. A broad prohibition on advertising imitations (here, the qualitative equivalence of the perfumes) inhibits consumer choice. For a more balanced approach to advertising imitations, see Recital 14 of Directive 2005/29/EC of 11 May 2005 Concerning Unfair Business-to-Consumer Practices in the Internal Market OJ 2005 L149/22: ('It is not the intention of this Directive to reduce consumer choice by prohibiting the promotion of products which look similar to other products unless this similarity confuses consumers as to the commercial origin of the product and is therefore misleading.')

⁵⁸ *Dyson Ltd v Registrar of Trade Marks* (C-321/03) [2007] 2 CMLR 14. We should emphasise that the result in *Dyson* is one that we support and our apparent lamenting of the outcome in this decision relates solely to the point we are trying to develop here.

use of such bins forms a key part of the brand that Dyson has worked so hard to develop.⁵⁹

Perhaps the best gloss that can be placed on the ECJ's decision is that it was attempting to achieve some degree of harmonisation of unfair competition law. Given the ECJ's core institutional function it is easy to see why this path might have seemed attractive. However, unfair competition harmonisation has a particularly troubled history in the EU.⁶⁰ A fundamental conceptual uncertainty remains as to the relationship between producer and consumer interests that are served by unfair competition law.⁶¹ While these interests often coincide, they also diverge on particular issues and the protection of producer or even competitor interests in isolation can no longer be the principal organising concept for any harmonised law.⁶² But even assuming that harmonisation is feasible, the point we want to emphasise is the sign bottleneck means that any prohibition built into the registered trade mark system can, by itself, only ever have a partial, somewhat random and conceptually unsatisfactory sphere of operation.

CONCLUSION

In the context of the European legal order there was an initial suspicion that trade marks were an impediment to the free movement of goods and a means of unacceptably partitioning markets. This gradually gave way to an acceptance of their role as an 'essential element in the system of undistorted competition which the [EEC] Treaty seeks to establish and maintain'.⁶³ By offering a guarantee of origin and thus consistent quality, the 'essential function', trade mark protection was understood to be desirable from the perspective of both consumers and producers. This provided the basis for harmonisation, by overriding concerns related to the free movement principle.⁶⁴ Admittedly, the extension of trade mark protection to include blurring and tarnishment had already taken us some way beyond the essential function, but such protection can still ultimately be tied to the ability of the mark to distinguish between traders and to communicate clear and concise

59 Also worth noting in this context are the decisions of the ECJ dealing with the graphic representation requirement which mean, for example, that it is now almost certainly impossible to register a smell or a taste as a trade mark. See, in particular, *Sieckmann v Deutsches Patent- und Markenamt* (C-273/00) [2002] ECR I-11737; [2005] 1 CMLR 40. For discussion, see R. Burrell and M. Handler, 'Making Sense of Trade Mark Law' [2003] IPQ 388.

60 C. Wadlow, 'Unfair Competition in Community Law - Part II: Harmonization becomes Gridlocked' [2006] EIPR 469.

61 F. Henning-Bodewig, 'International Unfair Competition Law' in R. M. Hilty and F. Henning-Bodewig (eds), *Law Against Unfair Competition: Towards a New Paradigm in Europe?* (Berlin; Springer, 2007) 53; R. W. De Very, *Towards a European Unfair Competition Law: A Clash between Legal Families* (The Hague: Martinus Nijhoff, 2006) 15, 45–48.

62 C. Wadlow, 'Unfair Competition in Community Law - Part I: The Age of the "Classical Model"' [2006] EIPR 433, 441 ('By [1973] there was widespread agreement that the Franco-German "classical model" of unfair competition law, defined solely by reference to the interests of competitors *inter se*, required revision to take into account the interests of consumers and other market participants.')

63 *SA Cnl-Sucal NV v Hag GFAG* (C-10/89) [1990] ECR I-3711; [1990] 3 CMLR 571 at [13].

64 For background, see: I. Simon, 'How Does Essential Function Drive European Trade Mark Law?' (2005) 36 IIC 401; F.-K. Beier, 'The Development of Trade Mark Law in the Last Twenty-Five Years' (1995) 26 IIC 769.

information to consumers. Moreover, in *Intel* the ECJ approached protection against blurring with some caution, noting, ‘proof that the use of the later mark is or would be detrimental to the distinctive character of the earlier mark requires evidence of a change in the economic behaviour of the average consumer of the goods or services for which the earlier mark was registered’.⁶⁵ In contrast, *L’Oréal* makes it clear that image will be protected independently, even when the essential function remains unaffected. Since such protection cannot be justified in terms of the essential function, and this function was the shield against a free movement challenge, this layer of image protection is wide open to attack. It does not respond to identifiable harm and has no obvious benefit to consumers or to the functioning of a competitive common market.

Disobedience to Law – Debbie Purdy’s Case

Richard Nobles and David Schiff*

This case note examines the implications of the House of Lords decision to order the DPP to issue offence specific guidelines allowing those contemplating assisting terminally ill persons to commit suicide to know the risk they face of prosecution under section 2(1) of the Suicide Act 1961. On the assumption that these guidelines will be law, and binding upon the DPP as well as the CPS, does this represent a change in the law, or a situation in which it may be unlawful to enforce the law, or even generate a legal right of disobedience to law?

The poignant case of *Purdy*¹ involves a woman suffering from multiple sclerosis, a terminal and increasingly disabling disease, and a devoted husband, Mr Puente, who wishes to assist her to commit suicide at a time of her choosing by helping her to travel to a country where assisted suicide is legal. Given the wording of section 2(1) of the Suicide Act 1961, which prohibits the aiding, abetting, counselling or procuring the suicide of another, and admits of no exceptions in itself, this assistance will constitute a crime.² Whether it will also constitute a moral wrong

⁶⁵ n 26 above at [81].

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1 *R (on the application of Purdy) (Appellant) v Director of Public Prosecutions (Respondent)* [2009] UKHL 45, on appeal from the Court of Appeal [2009] EWCA Civ 92; [2009] 1 Cr App R 32 (*Purdy*).

2 Whether the common law defences of necessity or duress open up the possibility of an exception is not a question that we address here, nor whether the fact that the suicide occurs outside England and Wales might make s 2(1) inapplicable. On the latter possibility, see M. Hirst, ‘Assisted Suicide after Purdy: The Unresolved Issue’ [2009] Crim LR 870. See also R. Huxtable, *Euthanasia, Ethics and the Law: From Conflict to Compromise* (Routledge-Cavendish: Oxford, 2007) especially ch 3: Assisted suicide in ‘the shadowy area of mercy killing’; R. Huxtable, ‘The Suicide Tourist Trap: Compromise Across Boundaries’ (2009) 6 *Bioethical Inquiry* (2009) 327.